BLUE LOTUS RESEARCH INTELLIGENCE

Phillips 66

Diversified Downstream — Refining + Midstream + Chemicals + CPChem

PhD Due Diligence Report | BLRI-DD-PSX-AUG2026

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Six-Method Framework: Quantitative · Qualitative · Ethnographic · Superforecasting · Adversarial-Collaborative · Seldon Thesis

RAG Corpus: EDGAR 139,756ch · WSJ 335,496ch · FT 109,507ch · NIKKEI 397,454ch · FA 148,327ch · ST_PHD 60,453ch

PART I — SELDON THESIS AXIS

Phillips 66: Most Diversified Downstream in US Energy

Phillips 66 is the most diversified US downstream energy company — spanning refining (900,000 B/day), midstream (pipeline ownership), chemicals (CPChem JV with Chevron), and marketing. At $227.79 (mkt cap $90.893B, P/E 13.00x, EPS $10.79), PSX is the cheapest-valued company in this DD series on a P/E basis. The diversification thesis: refining margins are cyclical, but CPChem's petrochemical margins, midstream fee income, and marketing provide non-refining earnings that smooth the cycle. PSX's 2.17% dividend has grown for 12 consecutive years.

Source: moomoo OpenD [2026-08-13] · Phillips 66 10-Q EDGAR · CPChem joint venture performance

PART II — QUALITATIVE ANALYSIS

CPChem Joint Venture: Petrochemical Exposure to Global Plastics Demand

CPChem (50% PSX, 50% Chevron) is one of the world's largest ethylene/polyethylene producers, with US Gulf Coast crackers and global marketing. The Q2 2025 CPChem Gulf Coast Petrochemicals Project (GCPP) cracker expansion (2B pounds/year ethylene) is on-stream, adding $500M+ in annual EBITDA. CPChem sells into global plastics demand — driven by Asia's packaging and automotive markets. Separately, PSX has accelerated the sale of non-core refinery assets and midstream reallocation to simplify the portfolio.

Source: CPChem GCPP project update · PSX portfolio simplification strategy · CPChem ethylene market report

PART III — QUANTITATIVE ANALYSIS

VALUATION SNAPSHOT [moomoo OpenD 2026-08-13]
Price: $227.79 | Prev Close: $225.58 | Mkt Cap: $90.893B
EPS TTM: $10.79 | Net Income: $4.305B | Div Yield: 2.17%
52w: $118.20–$228.32 | Shares: 399.0M

Metric	Value	Source
Price (2026-08-13)	$227.79	moomoo OpenD
Market Cap	$90.893B	moomoo OpenD
EPS TTM	$10.79	moomoo OpenD
Net Income TTM	$4.305B	moomoo OpenD
P/E TTM	13.00x	moomoo OpenD
52-Week Range	$118.20–$228.32	moomoo OpenD
Shares	399.0M	moomoo OpenD
Div Yield	2.17%	moomoo OpenD

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PART IV — COMPETITIVE LANDSCAPE

Competitor	Type	Mkt Cap	vs PSX
Valero Energy (VLO)	Refining pure-play + DGD	$95.7B	VLO more pure refining; PSX more diversified
Marathon Petroleum (MPC)	Refiner + MPLX	$98.5B	MPC similar diversification; MPLX midstream more integrated
LyondellBasell (LYB)	Petrochemicals + refining	~$30B	LYB pure chemicals; PSX CPChem exposure via JV
Dow Chemical (DOW)	Global chemicals	~$40B	DOW global chemicals; CPChem more US-centric

PART V — ETHNOGRAPHIC PORTRAITS

FINDING F-5-A: Portrait 1: The CPChem Ethylene Cracker Operator (COMPOSITE)

A CPChem chemical operator at the new GCPP ethylene cracker in Old Ocean, Texas monitors 2B pound/year ethylene output destined for Asian polyethylene markets. 'We're running at 95% utilisation already. Asian demand for packaging PE is insatiable. Margin is $350/tonne — best since 2021.' Represents CPChem's GCPP as PSX's highest-value recent capital investment, now generating peak margin in a tight PE market.

COMPOSITE / ILLUSTRATIVE — drawn from US Gulf Coast ethylene cracker operational patterns

FINDING F-5-B: Portrait 2: The Phillips 66 Partners Pipeline Operator (COMPOSITE)

A pipeline operator at PSX's Gray Oak Pipeline (Permian to Corpus Christi) manages crude oil throughput for multiple Permian producers. 'Gray Oak runs at 900,000 B/day — full capacity. Every barrel that comes from the Permian needs to get to the Gulf Coast. We collect the toll regardless of crude price.' Represents PSX's midstream fee income — regulated-like pipeline revenue that is non-cyclical and cash-flow stable.

COMPOSITE / ILLUSTRATIVE — drawn from Permian Basin crude pipeline operational patterns

FINDING F-5-C: Portrait 3: The PSX Portfolio Simplification Analyst (COMPOSITE)

An investment banker advises PSX on the sale of its Rodeo, California refinery conversion to renewable diesel production. 'PSX is monetising its California refinery by converting it to renewable diesel — capturing IRA credits AND reducing California LCFS compliance costs. It's a brilliant capital recycling move.' Represents PSX's portfolio simplification strategy — converting legacy refinery assets to renewable fuels production to capture IRA credits.

COMPOSITE / ILLUSTRATIVE — drawn from PSX portfolio transformation strategy

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PART VI — ADVERSARIAL COLLABORATION (5 HYPOTHESES)

HH1: HH1: CPChem ethylene margin cycle turns — PE oversupply 2026-2027

EVIDENCE FOR:
New Chinese petrochemical capacity adds 10M tonnes ethylene/year globally; PE market oversupplied; CPChem EBITDA falls 40%; PSX EPS -$2/share

EVIDENCE AGAINST:
GCPP's new low-cost US ethylene is competitive against Chinese cracker costs; US Gulf Coast advantaged feedstock (cheap NGLs) maintains margin floor

QUANTITATIVE TEST
P(CPChem global ethylene margin falls below $200/tonne for full year)=25%

VERDICT: BEAR — petrochemical cycle risk is PSX's most correlated multi-billion risk
Implication: Monitor global ethylene capacity additions; CPChem margin quarterly

HH2: HH2: Rodeo Renewed renewable diesel conversion delivers IRA windfall

EVIDENCE FOR:
PSX's Rodeo California facility converts to 100% renewable diesel/SAF by Q2 2026; § 45Z credit + California LCFS credit = $2/gallon combined; 50,000 B/day × $2/gallon × 365 = $1.5B/year; EPS accretive $3+

EVIDENCE AGAINST:
Rodeo conversion delays common in renewable energy projects; LCFS credit value volatile; feedstock supply constrains production

QUANTITATIVE TEST
P(Rodeo Renewed operating at full SAF capacity and generating >$800M annual EBITDA by Q2 2027)=35%

VERDICT: BULL — Rodeo Renewed is PSX's most transformational IRA catalyst
Implication: Monitor Rodeo Renewed progress reports; LCFS credit prices; SAF production volume

HH3: HH3: Elliott Management activist campaign unlocks sum-of-parts

EVIDENCE FOR:
Elliott (10%+ stake) demands PSX separate refining from CPChem + midstream; sum-of-parts valuation = $260+/share; PSX management resists initially then concedes

EVIDENCE AGAINST:
PSX management has shown willingness to simplify portfolio; CPChem JV structure (50/50 with CVX) complicates separation

QUANTITATIVE TEST
P(Elliott or similar activist wins major PSX structural change by 2027)=20%

VERDICT: BULL — activist sum-of-parts unlock is a credible PSX re-rating catalyst
Implication: Monitor PSX activist investor filings; management strategic review comments

HH4: HH4: Crack spread trough + CPChem cycle simultaneously

EVIDENCE FOR:
Refinery crack spread falls to $10 + CPChem margin falls to $150/tonne; double-bear scenario; PSX EPS falls from $10.79 to $4; stock $130-150

EVIDENCE AGAINST:
PSX diversification means both would need to cycle simultaneously; historically, refinery and petrochemical cycles don't synchronise perfectly

QUANTITATIVE TEST
P(Both crack spread <$10 AND CPChem margin <$200/tonne in same year)=10%

VERDICT: BEAR — simultaneous cycle trough is the tail risk for diversified downstream
Implication: Monitor crack spread + ethylene spread simultaneously; PSX earnings sensitivity

HH5: HH5: PSX buys MPLX or simplifies midstream into standalone

EVIDENCE FOR:
PSX sells midstream stake in Gray Oak and similar assets; simplifies to refining + CPChem; midstream proceeds fund buyback

EVIDENCE AGAINST:
PSX management prefers integrated model; midstream provides stable fee income that supports dividend through refining cycles

QUANTITATIVE TEST
P(PSX announces major midstream divestiture >$5B within 24 months)=15%

VERDICT: BULL — midstream monetisation at 10-12x EBITDA would be highly accretive
Implication: Monitor PSX midstream asset valuations; midstream MLP market conditions

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PART VII — SUPERFORECASTING (10 SCENARIOS)

SCENARIO 1: Rodeo Renewed + CPChem cycle recovery (P = 25%%)

Rodeo SAF $800M EBITDA; CPChem recovers to $400/tonne margin; EPS $14+; stock $260-280

Driver: Rodeo production; CPChem margin; crack spread

Falsifier: Rodeo delayed; CPChem oversupply; crack spread falls

SCENARIO 2: Activist campaign + sum-of-parts unlock (P = 15%%)

Elliott/ValueAct demands separation; PSX trades to $260+ sum-of-parts; management concedes partial separation

Driver: Activist filing disclosures; PSX management response

Falsifier: PSX management resists; activists settle for buyback acceleration only

SCENARIO 3: Base case: diversified earnings, stock $215-240 (P = 38%%)

Refining + CPChem + midstream provide stable $10-11 EPS; dividend +5%/year; stock $215-240

Driver: Quarterly EPS; crack spread; CPChem; Rodeo

Falsifier: Both cycles trough; double-bear scenario reduces EPS to $4-5

SCENARIO 4: CPChem GCPP delivers above-plan returns (P = 18%%)

GCPP 110% utilisation; CPChem EBITDA $4B+; PSX 50% = $2B; EPS $13+; stock $260

Driver: CPChem GCPP utilisation; ethylene margin

Falsifier: PE oversupply from China constrains GCPP margin

SCENARIO 5: Double-bear: crack spread + CPChem cycle simultaneously (P = 8%%)

Crack spread $10 + CPChem $150/tonne; EPS $4; stock $130-150

Driver: Simultaneous crack spread + ethylene monitoring

Falsifier: Rodeo IRA credits partially offset both downturns

SCENARIO 6: PSX acquires a midstream MLP at cycle lows (P = 10%%)

PSX acquires a distressed midstream MLP at 7x EBITDA; integrates into Gray Oak pipeline system; midstream fee income + $1B

Driver: Midstream MLP valuations; PSX M&A activity

Falsifier: PSX prefers buybacks over acquisitions; midstream MLP valuations too high

SCENARIO 7: California LCFS credit spike boosts Rodeo economics (P = 12%%)

California tightens LCFS standard; credit price rises to $250/tonne; Rodeo Renewed LCFS credit income doubles; stock $260+

Driver: California LCFS credit market prices; CARB regulation

Falsifier: LCFS credit market oversupplied by other renewable diesel projects

SCENARIO 8: PSX buyback reduces share count from 399M to 320M (P = 18%%)

PSX deploys $12B in buybacks over 3 years; EPS mechanically rises 20%; stock $265+

Driver: PSX buyback programme; share count quarterly

Falsifier: CPChem cycle falls; FCF allocated to debt reduction instead

SCENARIO 9: China PE demand surge rescues CPChem margin (P = 15%%)

China stimulus boosts packaging demand; PE imports surge; CPChem margin recovers to $350/tonne; EPS $13+

Driver: China manufacturing PMI; plastic packaging import data; CPChem margin

Falsifier: China builds domestic PE capacity; imports fall; CPChem margin stays low

SCENARIO 10: Bull case: PSX = $280+ by 2028 on all catalysts (P = 3%%)

Rodeo + CPChem cycle + activist + buyback = $280+

Driver: All catalysts simultaneously

Falsifier: CPChem oversupply; crack trough; Rodeo delayed

PART VIII — SELDON VARIABLE DEEP DIVE

Variable	PSX Impact	Direction	Magnitude
ξ	Rodeo Renewed SAF + renewable diesel enables aviation decarbonisation	↑ Transitional	ξ+ growing
Ω	Refining + CPChem fossil chain contributor; Rodeo is partial Ω-minus	→ Mixed	Ω mixed
K	CPChem supplies plastics/materials for industrial K (packaging, automotive, construction)	↑ Enabling	K+ indirect
I	Diversified downstream provides economic stability across refining cycles	↑ Mild	I+ moderate

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PART IX — RISK REGISTER

Risk	Probability	Impact	Mitigation
CPChem PE cycle trough	MEDIUM (25%)	HIGH	GCPP cost advantage; US NGLs feedstock low-cost
Crack spread normalisation	MEDIUM (20%)	HIGH	Diversification; CPChem + midstream offset
Rodeo Renewed delays	MEDIUM (20%)	MEDIUM	Conversion underway; partial SAF production ongoing
Elliott activist pressure	LOW (20%)	MEDIUM	Sum-of-parts could be accretive if managed well
Double-bear simultaneous	LOW (10%)	VERY HIGH	Diversification reduces but doesn't eliminate correlation

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CONCLUSION — 6-METHOD SYNTHESIS VERDICT

CONVICTION VERDICT: DIVERSIFIED VALUE — 13x P/E WITH CPChem CYCLE + RODEO IRA OPTIONALITY

PSX at $227.79 (mkt cap $90.893B, P/E 13.00x) is the lowest-P/E company in the entire energy DD series. Diversification across refining, chemicals, midstream provides cyclical smoothing. CPChem

GCPP is delivering; Rodeo Renewed is the IRA catalyst. Activist sum-of-parts unlock is credible at 13x. Seldon: Ω-mixed; ξ+ via SAF transition. HUMAN_ONLY_MANUAL. All figures: moomoo OpenD [2026-08-13]. RAG Corpus: EDGAR 139,756ch · WSJ 335,496ch · FT 109,507ch · NIKKEI 397,454ch · FA 148,327ch · ST_PHD 60,555ch.